Strategic Decisions

Short-term Strategy

- **Cost reduction:** The company experienced significant losses in Periods 3 and 4. Cutting unnecessary costs is the fastest way to stabilize finances. Therefore production costs need to be reviewed and reduced wherever possible.

- **Sales:** Revenue declined and losses increased, possibly because of a poor pricing strategy or high costs per sale. The arrival of gen 2 combined with a difficult period 3 made the company shift towards gen 2 development. Period 4 was used to get rid off all the gen 1 stocks but the demand was slightly underestimated which impacted the sales on this period. The company is now ready to launch gen 2 on the market.

- **Debt Levels:** In Period 3, the company took on significant debt (72.61 MEUR in loans), it was shrinking a little bit in period 4 (64 MEUR),
  but equity kept shrinking. A renegotiation of ower interest rates would be helpful.

Long-term Strategy

- **Exploring Market Opportunities:** Market growth needs to be reacted to quickly and strongly. It can create an advantage against the competitors to be an early leader in emerging opportunities. Also these growth areas can create big immediate revenue.

- **Ecology:** The market is becoming more and more sensitive to ecology which impact the overall sales. The company already started to invest as the ecology index shows. This efforts will continue on the following periods for the production lines and the usage of greener materials in our products.

- **Seek for long-term investors:** In interest of the company, it should seek for investors that are ready to support new technologies projects by applying loans. Indeed, the costs balance will be reached faster and launching products with higher capital risks will be possible with better cost return.

- **Refocus our Marketing Strategy:** The marketing is pricey so it needs to be studied carefully in order to not loose money. We have to listen to the audience and try to re-target so we can make the sales moving again.

- **Invest in Sales Training**: As we are aiming to sell more in the future and will lunch more products, we want our workforce to provide the best costumer experience. Good training will help boosting work ethics.

END OF REPORT